

Answer Key

Full answers and workings for Model_Questions.md and the "Check yourself" questions in each chapter of notes.

Chapter 8: Irrecoverable Debts and Allowance for Receivables

Multiple choice

Q	Answer	Reason
8.1	B	The expense account is debited; the customer's account is credited to remove the debt.
8.2	B	Prudence: do not overstate the value of trade receivables.
8.3	B	New allowance $30,000 \times 4\% = 1,200$. Change = $1,200 - 1,000 = 200$ increase, an expense.
8.4	C	Irrecoverable debts recovered is other income.
8.5	C	The allowance reduces trade receivables under current assets.

8.6 (4 marks, any two differences, 2 marks each)

- An irrecoverable debt is a **certain** loss. An allowance is an **estimate** of possible losses.
- An irrecoverable debt relates to a **named** customer. An allowance is not linked to any one customer.
- Writing off an irrecoverable debt closes the customer's account. The allowance does not change customer accounts.
- The full irrecoverable debt is an expense. Only the **change** in the allowance goes to the SPL.

8.7 (3 marks)

Date	Details	Dr \$	Cr \$
2025 Mar 1	Irrecoverable debts	750	
	Tomas		750
	<i>Debt written off as Tomas has been declared bankrupt</i>		

8.8

a) Allowance required

Year	Trade receivables after write-offs	x 3%	Allowance
2023	40,000	3%	1,200
2024	50,000	3%	1,500
2025	$36,000 - 1,000 = 35,000$	3%	1,050

b) SPL effect

Year	Calculation	SPL
2023	1,200 - 0	Expense 1,200 (creating the allowance)
2024	1,500 - 1,200	Expense 300 (increase)
2025	1,050 - 1,500	Income 450 (decrease)

c) Allowance for irrecoverable debts account

Dr		\$	Cr		\$
2023 Dec 31	Balance c/d	1,200	2023 Dec 31	Income statement	1,200
2024 Dec 31	Balance c/d	1,500	2024 Jan 1	Balance b/d	1,200
			2024 Dec 31	Income statement	300
		1,500			1,500
2025 Dec 31	Income statement	450	2025 Jan 1	Balance b/d	1,500
2025 Dec 31	Balance c/d	1,050			
		1,500			1,500
			2026 Jan 1	Balance b/d	1,050

d) SFP extract at 31 December 2025

Current assets	\$	\$
Trade receivables	35,000	
Less: Allowance for irrecoverable debts	1,050	33,950

Check yourself (Chapter 8 notes)

1. Debit Irrecoverable debts \$450, credit the customer's account \$450.
2. New allowance $32,000 \times 2.5\% = 800$. Change $800 - 900 = 100$ decrease. Credit \$100 to the SPL as income.
3. Prudence and accruals (matching).

Chapter 10: Tangible Non-current Assets and Depreciation

Multiple choice

Q	Answer	Reason
10.1	B	Buying a non-current asset is capital expenditure. The others are running costs.
10.2	A	$(25,000 - 5,000) / 5 = 4,000$.
10.3	B	Year 1: $50,000 \times 20\% = 10,000$. NBV 40,000. Year 2: $40,000 \times 20\% = 8,000$.
10.4	B	NBV = $15,000 - 9,000 = 6,000$. Proceeds 5,000. Loss 1,000.
10.5	C	A rise in market price does not reduce the asset's usefulness.

10.6 (4 marks)

- To match the cost of the asset against the revenue it helps earn each year. Concept: **accruals (matching)**.
- To avoid overstating the value of non-current assets and profit. Concept: **prudence**.

10.7 (2 marks)

$$2,000 + 800 - 2,100 = \$700$$

10.8 (3 marks)

Reducing balance. A vehicle loses most value in its early years. Repairs are low when it is new and rise as it gets older. High depreciation early plus low repairs, and low depreciation later plus high repairs, spreads the total cost more evenly.

10.9

a) and b) Reducing balance at 25%

Year	NBV at start	Depreciation 25%	Accumulated depreciation	NBV at end
2023	40,000	10,000	10,000	30,000
2024	30,000	7,500	17,500	22,500
2025	22,500	5,625	23,125	16,875

NBV at 31 December 2025 = **\$16,875**

c) Machinery disposal account

Dr		\$	Cr		\$
2026 Jan 1	Machinery	40,000	2026 Jan 1	Provision for depreciation	23,125
			Jan 1	Bank	15,000
			Dec 31	Income statement (loss on disposal)	1,875
		40,000			40,000

Check: proceeds 15,000 - NBV 16,875 = loss 1,875.

d) The loss of \$1,875 is an **expense** in the Statement of Profit or Loss.

10.10 (2 marks)

$$12,000 \times 10\% = 1,200 \text{ per year. } 1 \text{ April to } 31 \text{ December} = 9 \text{ months. } 1,200 \times 9/12 = \$900$$

Check yourself (Chapter 10 notes)

1. Cost = 3,000 + 200 = 3,200. $3,200 / 4 = \$800 \text{ per year}$.
 2. Year 1: $16,000 \times 25\% = 4,000$, NBV 12,000. Year 2: $12,000 \times 25\% = 3,000$, NBV **\$9,000**.
 3. $4,600 - 4,000 = \text{profit of } \600 .
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Chapter 11: Accruals and Prepayments

Multiple choice

Q	Answer	Reason
11.1	B	The business owes the money.
11.2	C	$5,200 + 400 = 5,600$.
11.3	A	$2,400 + 500 - 600 = 2,300$.
11.4	C	The business owes the tenant a service (use of the property).
11.5	C	Accruals (matching).

11.6 (2 marks)

The expense is understated by \$600, so profit is **overstated** by \$600. Current liabilities are also understated by \$600.

11.7 (3 marks)

Monthly cost = $4,800 / 12 = 400$. October to December = 3 months.

- Expense = $3 \times 400 = \text{\$1,200}$
- Prepayment = $9 \times 400 = \text{\$3,600}$ (current asset)

11.8

a)

Item	Calculation	SPL \$
Wages	$18,000 - 300 + 450$	18,150 (expense)
Rates	$1,600 + 200 - 250$	1,550 (expense)
Commission receivable	$3,000 + 250$	3,250 (other income)

b) Wages account

Dr		\$	Cr		\$
2025-26	Bank	18,000	2025 Apr 1	Balance b/d	300
2026 Mar 31	Balance c/d	450	2026 Mar 31	Income statement	18,150
		18,450			18,450
			2026 Apr 1	Balance b/d	450

c)

- Other receivables = 250 rates prepaid + 250 commission due = **\\$500**
- Other payables = 450 wages owing = **\\$450**

Check yourself (Chapter 11 notes)

1. $24,000 + 800 = \$24,800$.
2. $1,500 / 15 = 100$ per month. 3 months belong to next year. Prepayment = **\$300**.
3. Current liabilities (other payables).

Chapter 12: Fundamental Accounting Principles and Concepts

Name the concept

Q	Concept
12.1	Business entity
12.2	Historical cost
12.3	Consistency
12.4	Materiality
12.5	Realisation
12.6	Money measurement
12.7	Duality
12.8	Going concern
12.9	Accruals (matching)
12.10	Prudence

12.11 (3 marks)

Prudence means assets and profits should not be overstated, and liabilities and losses should not be understated. Losses are recorded as soon as they are likely; profits are recorded only when earned. Example: creating an allowance for irrecoverable debts, or valuing inventory at the lower of cost and net realisable value.

12.12 (3 marks)

Going concern assumes the business will continue trading for the foreseeable future, so assets are shown at cost less depreciation. If the business were **not** a going concern, assets would be shown at the amount they would raise if sold now (often much lower).

12.13 (4 marks, any two)

- **Relevance:** the information helps users make decisions and is available in time.
- **Reliability:** the information is free from errors and bias and can be checked.
- **Comparability:** it can be compared with earlier years and other businesses.
- **Understandability:** it is clear to users with reasonable knowledge.

12.14 (3 marks)

$NRV = 1,800 - 300 = 1,500$. Cost = 2,000. Lower of cost and NRV = **\$1,500**. Concept: **prudence**.

Check yourself (Chapter 12 notes)

1. Business entity.
2. Consistency.
3. $NRV = 1,500 - 100 = 1,400$. Cost = 1,200. Value at the lower: **\$1,200**.

Statement of Profit or Loss and Statement of Financial Position

Multiple choice

Q	Answer	Reason
FS.1	B	Delivery costs to customers are an expense.
FS.2	C	Drawings reduce the owner's capital.
FS.3	A	$5,000 + 30,000 - 1,000 + 500 - 6,000 = 28,500$.
FS.4	C	It is repayable on demand.
FS.5	B	$18,000 - 7,500 = 10,500$.

FS.6 Ben's Bikes

Workings

Working	Calculation	\$
W1 Electricity	$2,300 + 250$	2,550
W2 Insurance	$1,600 - 400$	1,200
W3 Rent received	$2,400 - 200$	2,200
W4 New allowance	$9,000 \times 4\%$	360
W4 Change	$360 - 500 = \text{decrease (income)}$	140
W5 Depreciation motor vehicles	$(24,000 - 6,000) \times 20\%$	3,600
W5 Acc. dep. motor vehicles	$6,000 + 3,600$	9,600
W6 Depreciation fixtures	$8,000 \times 10\%$	800
W6 Acc. dep. fixtures	$2,000 + 800$	2,800
W7 Other payables	250 electricity + 200 rent in advance	450

a) Ben's Bikes: Statement of Profit or Loss for the year ended 30 June 2026

	\$	\$
Revenue		82,000
Less: Sales returns		800
Net revenue		81,200
Less: Cost of sales		
Opening inventory	6,200	
Add: Purchases	45,000	
Less: Purchases returns	(900)	
Add: Carriage inwards	400	
	50,700	
Less: Closing inventory	(7,100)	
		43,600
Gross profit		37,600
Add: Rent received (W3)	2,200	
Add: Decrease in allowance for irrecoverable debts (W4)	140	2,340
		39,940
Less expenses		
Wages	12,600	
Electricity (W1)	2,550	
Insurance (W2)	1,200	
Advertising	1,200	
Irrecoverable debts	350	
Depreciation: motor vehicles (W5)	3,600	
Depreciation: fixtures (W6)	800	
		22,300
Profit for the year		17,640

b) Ben's Bikes: Statement of Financial Position at 30 June 2026

	Cost \$	Acc. dep. \$	NBV \$
Non-current assets			
Motor vehicles	24,000	9,600	14,400
Fixtures	8,000	2,800	5,200
	32,000	12,400	19,600
Current assets			
Inventory		7,100	
Trade receivables	9,000		
Less: Allowance for irrecoverable debts	360	8,640	
Other receivables (insurance prepaid)		400	
Bank		3,150	
		19,290	
Current liabilities			
Trade payables		5,300	
Other payables (W7)		450	
		5,750	
Net current assets			13,540
Net assets			33,140
Capital			
Opening capital			23,000
Add: Profit for the year			17,640
			40,640
Less: Drawings			7,500
Closing capital			33,140

Net assets = Closing capital = \$33,140. The statement balances.

Check yourself (Financial Statements notes)

1. $5,000 + 30,000 - 1,000 + 500 - 6,000 = \textbf{\$28,500}$.
2. $18,000 - 7,500 = \textbf{\$10,500}$.
3. $40,000 + 12,000 - 9,000 = \textbf{\$43,000}$.